

combinations of stocks, bonds, cash or cash equivalents and other investments.

Some mutual funds have these companies chosen by a computer (e.g. an index fund), while other mutual funds are actively managed by a human being. For the purpose of this book, when I say 'mutual funds', I'm referring to actively managed mutual funds, as that is what most personal finance jargon refers to. But technically mutual funds are just a management style. A mutual fund can be an actively managed fund as well as a passive index fund. Technically it is incorrect to assume all mutual funds are actively managed, but for the purpose of simplicity we'll assume the mutual funds we speak about are in fact actively managed.

Mutual funds pool money from many investors and invest them on their behalf. One mutual fund could be a basket of tech stocks or energy stocks. It could be a basket of high-growth companies or more stable companies. You can buy a 'share' of a mutual fund in the same way that you can buy a share of a company; instead of buying a piece of a company, you're buying a piece of the basket of stocks. (It's worth noting these funds don't always have to invest in stocks — they can also be made up of bonds or other types of investments.)

How do actively managed mutual funds choose their stocks? Imagine a person is tasked with the job of selecting the best berries on a farm. They examine the berries and clear them of anything that makes them unattractive, thus screening through all the berries and only putting the best ones in the basket. This is what the fund manager is trying to do. It is someone's full-time job to screen hundreds of companies to try and find the ones that are going to beat the average returns you'd get from the stock market.

Because mutual funds involve people who spend time doing a lot of work, and need offices and spaces to work, these funds tend to have higher fees. Fund managers on average take a 1.4 per cent fee of a portfolio. This may not seem like a lot, but the fee is taken regardless of whether the fund makes you a profit. They are also a lot higher than what you'd be paying in a fund that isn't actively managed, which can sit as low as 0.03 per cent.

Let me tell you a little secret. It's human nature to assume that actively managed funds are more likely to do well, since the fund managers do so